

INFLATION, PRICE INDICES AND BUSINESS CYCLES

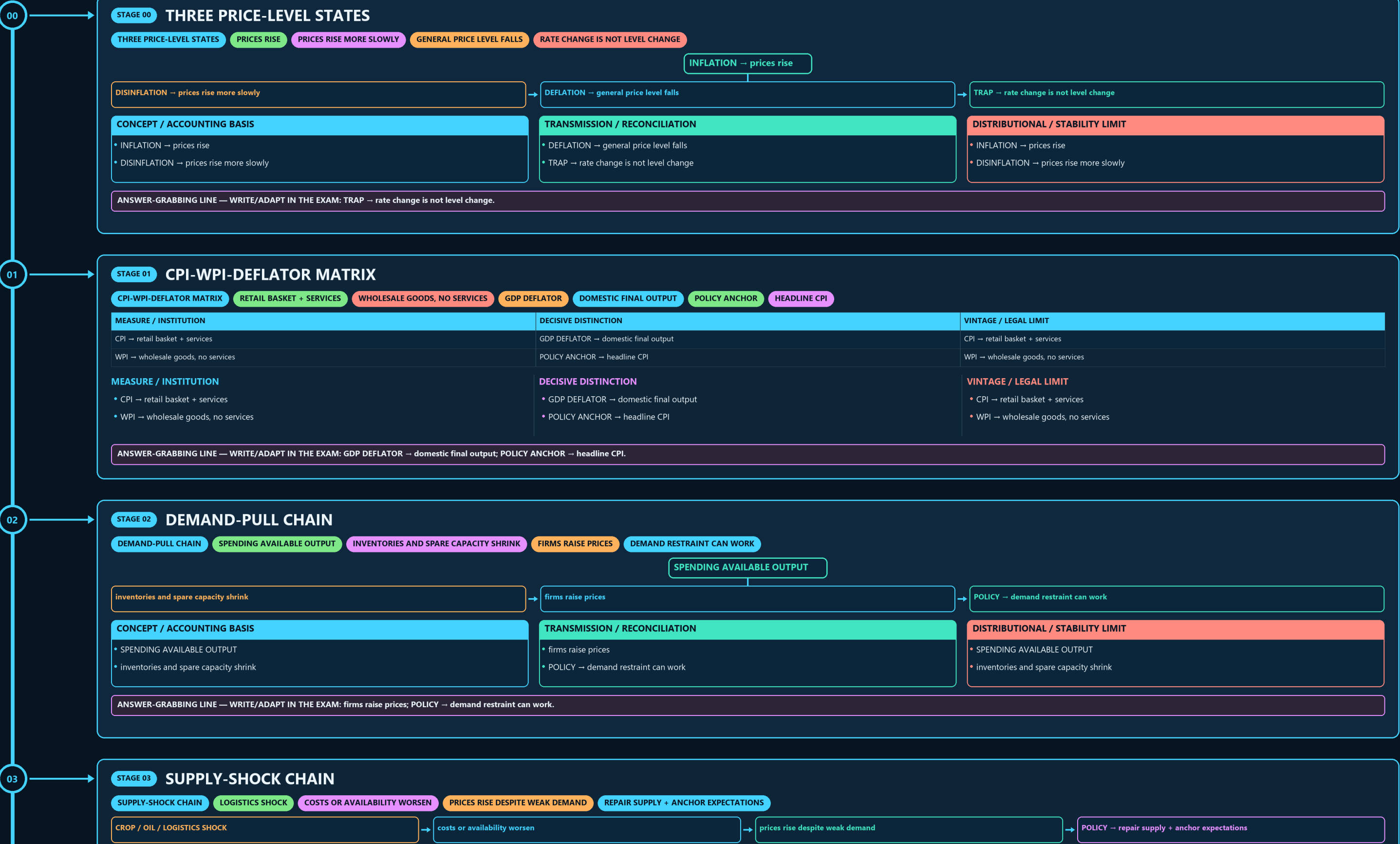
THREE PRICE-LEVEL STATES → CPI-WPI-DEFLATOR MATRIX → DEMAND-PULL CHAIN → SUPPLY-SHOCK CHAIN → OUTPUT GAP FORK → EXPECTATIONS LOOP

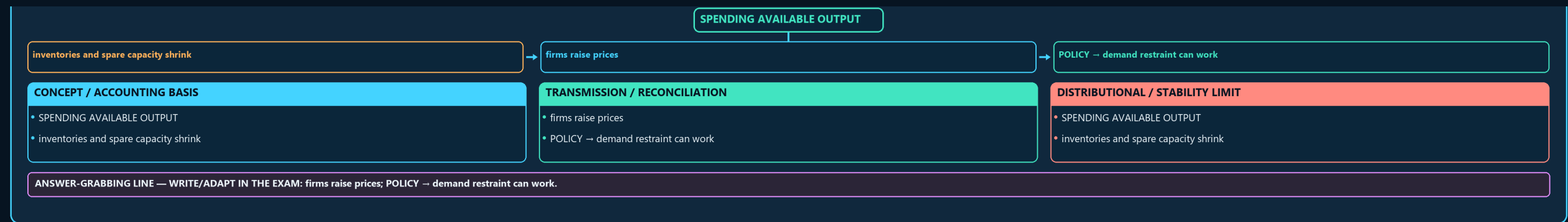
Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g1 • explicit approval of this exact generation is required • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

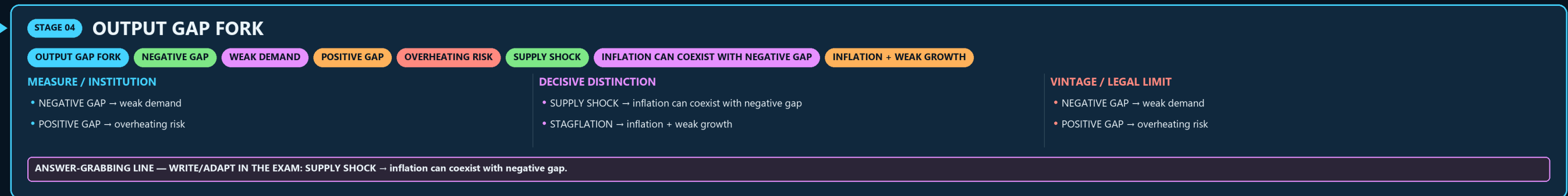




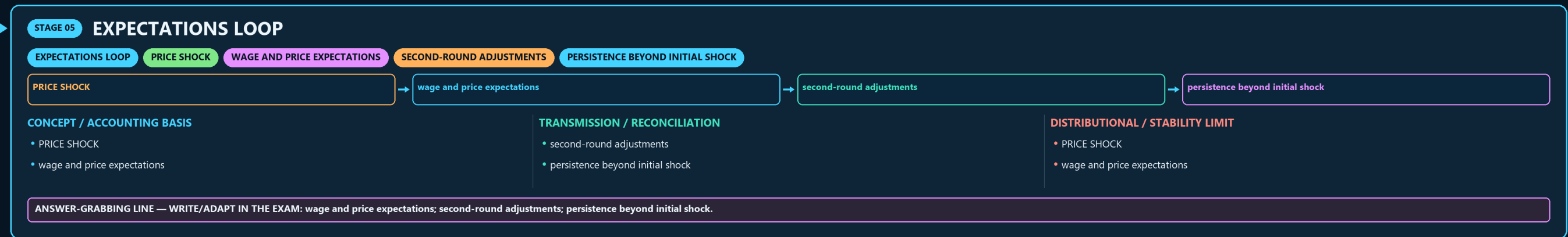
03



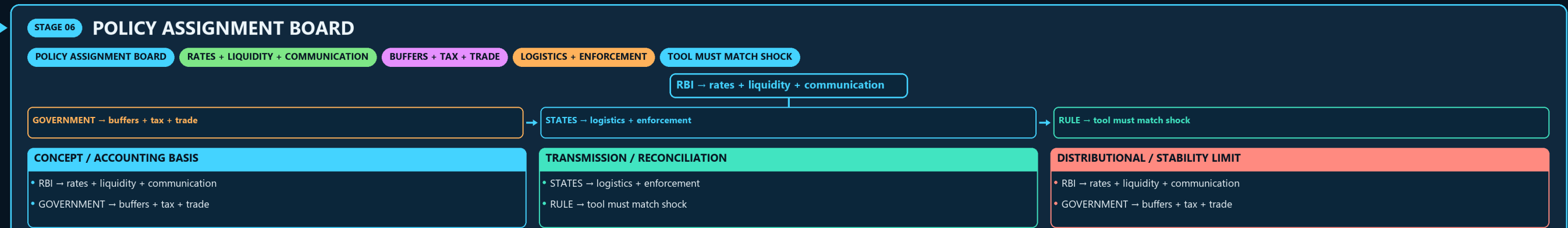
04



05



06



- wage and price expectations

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: wage and price expectations; second-round adjustments; persistence beyond initial shock.

RBI → rates + liquidity + communication

→ **RULE** → tool must match shock

DISTRIBUTIONAL / STABILITY LIMIT

- RBI → rates + liquidity + communication
- GOVERNMENT → buffers + tax + trade

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STATES → logistics + enforcement; RULE → tool must match shock.

➡ **LESSON** → demand and supply can conflict

- 2020 → lockdown logistics shock
- 2021-22 → global commodity surge

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 2016 → formal CPI-targeting framework; LESSON → demand and supply can conflict.

POOR → high food and fuel share

→ **TIGHTENING** → borrowers and MSMEs bear costs

DISTRIBUTIONAL / STABILITY LIMIT

- POOR → high food and fuel share
- FIXED INCOME → real purchasing power falls

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: INDEXED WORKERS → partial protection; TIGHTENING → borrowers and MSMEs bear costs.

➡ PHILLIPS CURVE → guide, not law

- TROUGH → RECOVERY → EXPANSION
- PEAK → SLOWDOWN / RECESSION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: POLICY DEPENDS ON output gap and shock; PHILLIPS CURVE → guide, not law.

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09

STAGE 09

BUSINESS-CYCLE RAIL

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POLICY DEPENDS ON OUTPUT GAP AND SHOCK

PHILLIPS CURVE

GUIDE, NOT LAW

TROUGH → RECOVERY → EXPANSION

PEAK → SLOWDOWN / RECESSION

POLICY DEPENDS ON output gap and shock

PHILLIPS CURVE → guide, not law

CONCEPT / ACCOUNTING BASIS

- TROUGH → RECOVERY → EXPANSION
- PEAK → SLOWDOWN / RECESSION

TRANSMISSION / RECONCILIATION

- POLICY DEPENDS ON output gap and shock
- PHILLIPS CURVE → guide, not law

DISTRIBUTIONAL / STABILITY LIMIT

- TROUGH → RECOVERY → EXPANSION
- PEAK → SLOWDOWN / RECESSION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: POLICY DEPENDS ON output gap and shock; PHILLIPS CURVE → guide, not law.

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STAGE 10

INDEX-SERIES BREAK

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CPI 2024=100

RELEASES FROM JAN 2026

WPI 2022-23 BASE

MAY 2026 ONWARD

NEW BASKET

NEW INFLATION

NO CASUAL LEVEL SPLICING

CPI 2024=100 → releases from JAN 2026

WPI 2022-23 base → MAY 2026 onward

NEW BASKET != NEW INFLATION

RULE → no casual level splicing

DATED SERIES / INSTRUMENT

- CPI 2024=100 → releases from JAN 2026
- WPI 2022-23 base → MAY 2026 onward

WHAT CHANGED

- NEW BASKET != NEW INFLATION
- RULE → no casual level splicing

COMPARABILITY / STATUS LIMIT

- CPI 2024=100 → releases from JAN 2026
- WPI 2022-23 base → MAY 2026 onward

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NEW BASKET != NEW INFLATION; RULE → no casual level splicing.

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STAGE 11

INFLATION ANSWER SPINE

INFLATION ANSWER SPINE

IDENTIFY INDEX + COMPONENT

DIAGNOSE DEMAND

TRACE EXPECTATIONS + DISTRIBUTION

PRESCRIBE COORDINATED POLICY MIX

IDENTIFY index + component

DIAGNOSE demand / cost / supply

TRACE expectations + distribution

PRESCRIBE coordinated policy mix

CONCEPT / ACCOUNTING BASIS

- IDENTIFY index + component
- DIAGNOSE demand / cost / supply

TRANSMISSION / RECONCILIATION

- TRACE expectations + distribution
- PRESCRIBE coordinated policy mix

DISTRIBUTIONAL / STABILITY LIMIT

- IDENTIFY index + component
- DIAGNOSE demand / cost / supply

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRACE expectations + distribution; PRESCRIBE coordinated policy mix.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

DISTINGUISH FIRST-ROUND SUPPLY SHOCKS FROM SECOND-ROUND GENERALISATION THROUGH WAGES

REAL INTEREST RATE IS APPROXIMATELY THE NOMINAL RATE MINUS

INDEX WEIGHTS, BASE YEARS, OUTLET COVERAGE, QUALITY ADJUSTMENT AND

A CPI OR WPI BASE REVISION CHANGES WEIGHTS, COVERAGE

OUTPUT GAPS HELP EXPLAIN DEMAND PRESSURE BUT ARE UNCERTAIN

FOOD INFLATION IN INDIA HAS STRONG WEATHER, STORAGE, TRADE-POLICY

BUSINESS CYCLES MAY BE DEMAND-LED, FINANCIAL-CYCLE-LED, INVENTORY-LED OR SUPPLY-LED

OPTIONAL MODEL / MEASUREMENT DEPTH

- CAUTION: Distinguish first-round supply shocks from second-round generalisation through wages,
- CAUTION: Real interest rate is approximately the nominal rate minus expected inflation, not
- CAUTION: Index weights, base years, outlet coverage, quality adjustment and substitution affect
- CAUTION: A CPI or WPI base revision changes weights, coverage and sometimes method; it is not

VINTAGE, BASKET OR LEGAL LIMIT

- CAUTION: Output gaps help explain demand pressure but are uncertain and revised in real time.
- CAUTION: Food inflation in India has strong weather, storage, trade-policy and inter-state
- CAUTION: Business cycles may be demand-led, financial-cycle-led, inventory-led or supply-led,
- MoSPI: compiles CPI and its consumer-group and spatial components.

COMPARATIVE POLICY NUANCE

- Office of the Economic Adviser: compiles WPI for wholesale goods.
- RBI and MPC: target headline CPI and calibrate the policy rate and communication.
- Union and state food-management agencies: use stocks, logistics, trade and anti
- CAUTION: A weather-driven vegetable spike can lift headline CPI even when demand-sensitive core

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.